

I. Request

1. The President of the Insurance and Pension Funds Supervisory Authority requested the National Data Protection Commission (CNPD) to express its opinion on the Draft Regulatory Standard regarding the "Use of the Legal Entity Identifier" [LEI].
2. The CNPD issues this opinion within the scope of its powers and competencies, as an independent administrative authority with the authority to oversee the processing of personal data, granted by paragraph c) of paragraph 1 of article 57, paragraph b) of paragraph 3 of article 58, and paragraph 4 of article 36, all of Regulation (EU) 2016/679, of April 27, 2016 – General Data Protection Regulation (hereinafter GDPR), in conjunction with the provisions of article 3, paragraph 2 of article 4, and paragraph a) of paragraph 1 of article 6, all of Law No. 58/2019, of August 8, which implements the GDPR in the internal legal order.

II. Analysis

3. The draft regulatory standard sub iudice, as also announced in the initial article that materializes the normative framework subject to opinion, aims to regulate the use of the Legal Entity Identifier (LEI) by entities subject to the supervision of the Insurance and Pension Funds Supervisory Authority (ASF).
 4. In summary, the LEI consists of an alphanumeric code composed of 20 characters, based on the ISO 17442 standard developed by the International Organization for Standardization (ISO), which will allow for the clear and unique identification of entities participating in financial transactions.
 5. Its genesis lies in the joint initiative of the Ministers of Finance and the Governors of the Central Banks of the G20 and the Financial Stability Board (FSB).
 6. Each LEI will contain/provide identifying information about the entity participating in the transaction and its structure, aiming to clarify "who is who" and "who controls whom," constituting a universal directory aimed at promoting greater transparency and the ability to identify the parties involved in transactions in the global market.
 7. More specifically, each LEI must therefore provide, in public access, at least data about the name or designation of the entity involved - as stated in the respective commercial register - its address/headquarters, the country of its incorporation, the codes for representing the names of countries and their subdivisions, the date of assignment of the first LEI, the date when the legal entity was established for the first time, the date of the last update of the LEI information, and the expiration date, if applicable.
 8. Additional information may also be aggregated as agreed between the legal entity and its LEI issuing organization.
 9. This set embodies the information designated as "Level 1," aimed at answering the question, as formulated above, of "who is who."
 10. In addition to these, the set of data contained in the LEI will also include "Level 2" data, which respond to the motto "who controls whom." In this case, this data will consist of aggregators of structural co-ownership or control/domain information, and their relationships of dependency or co-dependency.
 11. Returning to the standard to be used, in order to shape the subjective scope of the LEI, the aforementioned ISO 17442 standard explains that by legal entities it should be understood - although in a non-limiting definition - parties that are legally or financially responsible for conducting financial transactions or that are legally capable of entering into contracts (e.g., autonomous), entities with full exercise capacity, as conferred by the national legal system of origin, or individuals when acting in a business capacity, thus excluding natural persons in personal or non-professional exercise, as well as workers who perform these acts on behalf of others, as clarified by the Legal Entity Identifier Regulatory Oversight Committee.
- 2 The so-called LOU (Local Operating Units).
- 3 In this regard, one can refer to the information published by the Global Legal Entity Identifier

Foundation (GLEIF), which coordinates the LEI system and ensures public access to information about issued LEIs, accessible at <https://www.gleif.org/>

4 Including in the notion, also, governmental, international, and supranational organizations.

5 See Point 1 of ISO 17442 and the document "Legal Entity Identifier Regulatory Oversight Committee (LEI ROC)," Statement on individuals acting in a business capacity dated September 30, 2015.

PAR/2023/72

2

12. The same will serve to state that, as a rule, according to the ISO Standard, natural persons, in the broad sense of natural persons, will not be recipients of the LEI, even though, depending on the specificities of each legal system, it may happen that such natural persons can act in legal commerce as entrepreneurs, according to their own legal configuration, and pursue independent professional commercial activity, even if not, it should be understood, in corporate form.

13. In conclusion, it is believed that there will need to be an assessment of at least two distinct regimes regarding the matter under analysis, as will be better explained below, to the extent that the subjective scope to be considered, even if defined collectively in that instrument, can assume relevances and ownership of rights of different nature, which, moreover, manifest in the sphere of action under the supervision of the Requesting Entity, and are reflected in the Regulatory Project.

14. The European Insurance and Occupational Pensions Authority (EIOPA) published a set of Guidelines on the use of the LEI, aimed at promoting and harmonizing the identification of legal entities and establishing coherent, efficient, and effective supervisory practices, covering insurance and reinsurance companies and occupational pension institutions, as well as relevant branches and intermediaries operating at a cross-border level. The Guidelines also foresee the use of the LEI code for identification purposes when the competent authorities provide information to EIOPA.

15. Furthermore, according to the Guidelines issued by EIOPA, as well transcribed in the explanatory memorandum of the Regulatory Project under analysis, "natural persons acting as businesses are eligible to obtain an LEI, provided they engage in independent business activity, as evidenced by registration in a commercial register, with only one LEI issued for the same individual and adequate verification that data protection, privacy, or other obstacles do not prevent the publication of the current LEI data file," as has already been alluded to above.

16. Everything that has been presented as preliminary will thus serve to conclude that, regarding corporate actors in the global market, including in the activities provided for in the utilities of the LEI, there are generally and directly no issues related to the application of the GDPR and other related legislation, to the extent that

6 This is an EU body aimed at supporting coordination among national authorities and ensuring the coherent application of EU legislation related to the insurance and occupational pensions sectors in EU Member States.

7 Although, in strict terms, under the general principles of the legal ontology of the LEI, a distinction can be made between "eligibility" and "obligation."

2v.

The regime provided for in this Regulation is intended for the protection of natural persons, for whom the processing of personal data is a fundamental right.

17. In fact, Article 8(1) of the Charter of Fundamental Rights of the European Union ("Charter") and Article 16(1) of the Treaty on the Functioning of the European Union (TFEU) establish that all individuals have the right to the protection of personal data concerning them, precisely in the same sense of natural persons referred to above, which is generally excluded from the scope of the LEI, with the exception already depicted.

18. However, even so, in this regard, the set of data that is intended to be included in the classifications "Level 1" and "Level 2" under the LEI will not be indifferent, even though these are abstractly defined in the instruments creating the figure, based on the Portuguese corporate structure.

19. And it will not be indifferent to the extent that the use of a set of aggregated information such as the LEI, due to its universal nature, calls for subsequent adaptation to the specificities of each legal system, which must presuppose, in its transposition and regulation, in the present case, the adequacy

to the universe of entities established in Portugal, in the exercise of a particular commercial activity and their specific legal regimes at the local level.

20. In other words, it will be necessary to assess the informational set to be included in the LEI as conceived, and the data to be processed concerning the legal configuration of the Portuguese legal entities covered under the supervision of the Applicant, their nature and quality, based on the sector of activity to which they belong, considering, including, the public data contained in the commercial register, and their coordination and/or adequacy, based on their type, with what is foreseen as constituent of the LEI, since, particularly in "Level 2", it may include, in our case and in theory, data that may be considered personal, captured by drag - or "shadow" - of information concerning collective structures and their relationships, primarily excluded from the legislation protecting personal data, a point that should be carefully weighed and prevented, due to the flow to be published.

8. Article 8(1) of the Charter of Fundamental Rights of the European Union ("Charter") and Article 16(1) of the Treaty on the Functioning of the European Union (TFEU) establish that all individuals have the right to the protection of personal data concerning them, provisions that are also reflected in the Constitution of the Portuguese Republic, as well as in Article 1 of the GDPR.

9. One thing will be, thus, to create a public database where only information relating to legal entities among themselves and contained in the register as their identifying elements is included; another will be the set of data that may approach individuals considered as effective beneficiaries of those companies, and their personal data.

21. Therefore, from this point of view, the Draft Regulation in question is silent regarding the information that will actually be processed and collected, only regulating its scope of application, the obligation of ownership of the LEI and its communication and use, as well as the provision of information to EIOPA and publicity by ASF, and it will not reflect a true regulatory exercise of specialized application directed at the entities covered considering their sector of activity, as well as the particularities that may arise regarding matters concerning personal data, which assumes greater importance, in our view, when it comes to sectoral norms, and subject to the supervision of the creating entity.

22. Moreover, this observation seems to become even sharper when insurance, reinsurance, and ancillary insurance brokers registered in Portugal who carry out cross-border activities in the territory of other Member States are included in the scope of application of the Draft Regulation, which may consist of natural persons, where it is noted in the Draft, including, the sending to ASF of a copy of the form related to the processing of personal data attached to the proposed regulatory standard. -See, arts. 2(1)(g) and 5(3) of the Draft Regulation.

23. Now, if the determination of the information and data to be included in the LEI, given this specific sector and the subjects particularly covered by this Draft, who carry out a specific activity and are constituted and organized, in our legal system, in a typified manner, would prove useful in the name of the principles of clarity and information to its recipients,

24. it is understood that it would also fulfill a discriminative and definitive function and, at the same time, truly regulatory and constitutive of a regime concerning the different situations that the Draft seeks to encompass, whether regarding legal entities or, differently, regarding natural persons, materializing the applicable regimes to each of the cases, which should not be confused.

25. The presumed specific adaptation to the demands and particular legal frameworks of national law, according to the Portuguese entities to be included in the instrument, and the definition, for each of the cases, of the data – whether already public or not, registral or otherwise – that will be brought to the LEI, assumes even greater importance when a regime of legal obligation is foreseen therein.

3v.

26. Not being indifferent, it should be reiterated but from another perspective, the type of data to be included and its eventual public or registral availability in the national legal framework, also in the sense of assessing, by this Commission, the particular treatment requirements that may impose the specific data to be processed, always necessarily oriented towards precise purposes, especially when, in the very ontogenesis of the LEI, it is possible to include additional data, with the agreement of the

issuing entity of the LEI, whose nature and legitimization may require considerations— even of legality—quite distinct from those that constitute the initial impetus of the Project.

27. In fact, clarifying, the greater urgency of this last observation arises with particular acuity when individuals may be included in that mechanism, whether by way of eligibility or, as results from the project, the obligation of the LEI which, as seen, assumes an exceptional character in the creative horizons of the instrument.

28. In such cases, the regimes for the protection of personal data will appear to be of primary application and concern, insofar as, even when acting in the aforementioned business capacity, the information to be processed may correspond to that of a personal nature, leading to the possibility of being constituted, for these purposes, materially the same, subject to mandatory publicity. Consider, for example, individual entrepreneurs who, not being legal entities, find a specific regime in commerce, with a boundary often indistinct between their personal data, regardless of the capacity in which they act in daily transactions.

29. This serves to say that, even though the Regulatory Project refers, in these cases, to an annex titled "Information Regarding the Processing of Personal Data," there should first be a true establishment of regimes addressed to the legal entities that are intended to be covered in Portugal with this Proposal, which carry out activities within the scope of supervision of the Applicant, and the specific information/data to be collected and their treatment and basis, e.g., which data to be processed and how they are processed, and not merely an informative set of the rights of the respective holders, which is nonetheless commendable.

30. This Commission reminds that, first and foremost, the processing of data must respect the principle of legality and be based on one of the grounds provided for in Article 6 of the GDPR, with different configurations depending on the specific ground on which they are based, as well as responding to the other requirements set forth therein and that radiate from that article, such as those contained in its paragraph 3, and, likewise, developed, *mutatis mutandis*, in the subsequent articles.

31. Coincidentally, it should also be specified the retention period of the collected personal data, clearly and preferably exhaustively, or a clear condition that specifies it, depending on and considering each of the specific purposes that authorize their collection and processing, dependent on the conclusions of the aforementioned assessments.

32. In the absence of such circumstances, the concrete assessment, by this Commission, of the particular treatment conditions of the data in question appears to be hindered.

33. Even so, it should be noted that it must be clarified which data will be processed, particularly by the ASF, as well as its flow, being certain that what is stated in the Regulatory Project does not directly relate to the issuance of the LEI by that Authority, but rather the obligation of its acquisition by the entities covered to request from third parties, and the corresponding communication to the ASF, delineating, strictly speaking, two different bases, with distinct data controllers, being unknown, from the reading of the Project, which basis the ASF will be responsible for, how it will be organized, and what data it will contain.

34. Regarding the transfer of personal data, it should also be clearly specified the specific circumstances under which these may occur, as well as, preferably, the information contained in Article 13 of the GDPR, specifically, the recipients (or categories of recipients) of the personal data, and what purposes justify them.

35. Furthermore, it should be added that it will be necessary to consider the provisions of paragraph f) of paragraph 1 of Article 14 of the GDPR, as this provision indicates that the data controller must inform the data subject of the transfer of personal data to a third country, indicating the existence of an adequacy decision adopted by the Commission under Article 45 of the GDPR, or, in its absence, the reference to appropriate or adequate safeguards and the means to obtain copies of them, or where they have been made available. It should be noted that, in this case, there must be a collaboration agreement that presents adequate guarantees and includes the enforceable and effective rights of the data subjects, as well as effective corrective measures, as imposed by Article 46 of this Union regulation.

36. The ASF invokes, in the annex on data processing, point e) of article 5, paragraph 1 of the GDPR as the foundational vertex for the processing of personal data. Although it is admitted that public interest may be the primary or remote motivator of the Regulation, what its normative content ultimately constitutes is a true legal obligation for the entities covered, so, in this view, one cannot speak of a right to object to the processing, in the sense conveyed by point g) of that same annex. Also, in the second paragraph of that point, the invocation of article 23 of the GDPR seems to be futile, since, in this case, there are no limiting circumstances that constitute a factual situation as outlined there, to be assessed at the present moment, so its removal is suggested.

37. It should also be noted that, under the terms of article 5 of the Project, the communication regarding "issuance, renewal, or portability of the LEI (...), as well as all information associated with the identifier, is communicated to the ASF (...) and carried out by electronic mail."

38. To the extent that this will imply the flow of information that may contain personal data, this Commission alerts to the need for the adoption of appropriate technical and security measures for the protection of personal data, in compliance with the provisions of articles 32 and following of the GDPR, also referring to Directive 1/2023 authored by this Commission, particularly in what is stated in its Point II, recommending the densification/regulation of the technical solution to be adopted, always in respect of the principles, techniques, and procedures just mentioned.

39. Finally, the CNPD emphasizes that the present Regulatory Proposal should be accompanied by an impact assessment, under the combined terms of articles 18, paragraph 4 of Law 43/2004, 7 of Law 58/2019, and 35 of the GDPR.

40. Although the present Proposal has its genetic cause in an instrument supported by European structure, the necessity of its adaptation to national legislation, in its specificities, will require the analysis of the risks of processing operations for data subjects, to be assessed, always, in concrete terms, in relation to the subjects involved and the data that, based on those specific purposes, justify their processing, especially when the position of the subjects does not appear to be the same.

III. Conclusion

53. In the terms and with the grounds presented, the CNPD recommends: